

One way to identify competitive advantage are-

“There should be a significant difference in market share between the market leader and it's followers.”



In terms of search engines, we can see Google owns 90% of the search engine market, while the remaining 7 to 8% is owned by all others combined. In this case, it is very clear that the business has a competitive advantage built-in; otherwise, something like this cannot happen. If something of this nature is built in the company, we will investigate further as to what is the source of the advantage? and then we will proceed!

Furthermore, it takes time to identify the advantages and disadvantages as the company will not communicate it directly. To figure this out, we'll have to go through Annual Reports and Investor Presentations on our own. We might also have to Examine the rating report, and the Industry Reports to identify the source of competitive advantage.

- Conclusion**
- So far, we've concentrated on determining the business's core competitive advantage over its competitors.
 - If we look at the order, we have tried to understand the company's products and services. Is the industry good and healthy?
 - If it is healthy, is our company better in terms of building better products, selling more of them, or does it have an advantage over others?
 - Institutional analysts conduct detailed research. They work on it for months. As retail investors, we will keep it simple and try to complete all of these steps in about two weeks, spending four hours per week. This is what we intend to build on. The lack of depth in our research, will be taken care of by diversification in our investments. In the next module, we will discuss management and their interests.